

Manulife Investment Progress Fund

Fund category

Equity

Fund objective

To provide Unit Holders with a steady long-term capital growth at a reasonable level of risk by investing in a diversified portfolio of small- to medium-size public listed companies.

Investor profile

The Fund is suitable for investors who are willing to accept a higher level of risk and for investors who seek capital appreciation from their investments. Have low income requirements and have a long-term investment horizon.

Fund manager

Manulife Investment Management (M) Berhad
200801033087 (834424-U)

Trustee

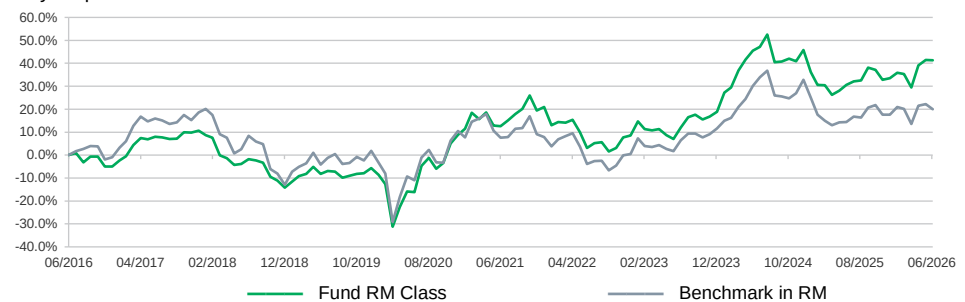
HSBC (Malaysia) Trustee Berhad
193701000084 (1281-T)

Fund information (as at 30 Jun 2026)

NAV/unit	RM 0.3440
Fund size	RM 382.56 mil
Units in circulation	1,112.17 mil
Fund launch date	18 Feb 2002
Fund inception date	11 Mar 2002
Financial year	31 Jul
Currency	RM
Management fee	Up to 1.50% of NAV p.a.
Trustee fee	Up to 0.06% of NAV p.a.
Sales charge	Up to 6.50% of NAV per unit
Redemption charge	Nil
Distribution frequency	Incidental, if any
Benchmark	50% FTSE Bursa Malaysia Small Cap Index + 50% FTSE Bursa Malaysia Mid 70 Index

Fund performance

10-year performance as at 30 June 2026*



Total return over the following periods ended 30 June 2026*

	1 month	6 month	YTD	1 year	3 year	5 year	10 year
Fund RM Class (%)	-0.09	5.88	5.88	8.24	32.08	25.50	41.35
Benchmark in RM (%)	-1.75	2.05	2.05	4.90	18.02	11.53	20.05

Calendar year returns*

	2021	2022	2023	2024	2025
Fund RM Class (%)	11.18	-10.25	9.48	22.59	-8.40
Benchmark in RM (%)	-2.43	-6.79	10.99	19.11	-11.46

*Source: Lipper; Past performance is not necessarily indicative of future performance. The performance is calculated on NAV-to-NAV basis.

Top 5 holdings

No.	Security name	% NAV
1	Kelington Group Bhd.	4.2
2	Southern Cable Group Bhd.	3.8
3	Mi Technovation Bhd.	3.4
4	Frontken Corp. Bhd.	3.2
5	S P Setia Bhd.	3.2

Highest & lowest NAV

	2023	2024	2025
High	0.3176	0.4145	0.3598
Low	0.2839	0.3174	0.2809

Distribution by financial year

	2023	2024	2025
Distribution (Sen)	-	3.65	-
Distribution Yield (%)	-	10.6	-

Asset/sector allocation

No.	Asset/sector name	% NAV
1	Ind prod & serv	22.4
2	Technology	14.7
3	Energy	12.5
4	Consumer prod & serv	8.6
5	Property	8.1
6	Financial Services	7.8
7	Plantation	6.5
8	Reits	5.2
9	Others	10.0
10	Cash & Cash Equivalents	4.2

Geographical allocation

No.	Geographical name	% NAV
1	Malaysia	95.8
2	Cash & Cash Equivalents	4.2

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Market review

For the month of June, global equity markets were volatile amid geopolitical uncertainty surrounding the US-Iran conflict and profit-taking in the technology sector. Most markets recovered towards the end of the month as ceasefire efforts progressed and concerns over disruptions to the Strait of Hormuz faded, leading to a sharp retreat in oil prices. The MSCI World Index fell 0.8%, while the MSCI Asia ex-Japan Index declined 1.5%.

In the US, the S&P 500 Index and Nasdaq Composite Index fell 1.1% and 2.8%, respectively, amid concerns over elevated AI-related valuations and a more hawkish US Federal Reserve. The US Consumer Price Index (CPI) for May rose 4.2% year-over-year (YoY), as higher energy costs added pressure on consumers. During the month, the Federal Reserve kept its policy rate unchanged at 3.5%–3.75%. In its “dot plot” projections, the Fed removed its prior expectation of a rate cut this year and signalled that a hike is possible. Officials also raised their 2026 headline inflation forecast to 3.6%, from 2.7%. In his first meeting as Federal Reserve Chair, Kevin Warsh reiterated the Fed's commitment to bringing inflation down to 2% and maintained that artificial intelligence is expected to have a disinflationary effect by boosting productivity and lowering costs.

In Europe, the Stoxx 600 Price Index rose 2.5% on signs of easing tensions in the Middle East. Eurozone CPI increased to 3.2% in May 2026, from 3.0% in April, raising concerns that the conflict could force manufacturers and retailers to pass on higher costs over the summer and autumn. In response, the European Central Bank (ECB) raised interest rates for the first time since 2023, lifting its main deposit rate from 2.0% to 2.25%. The ECB also trimmed its eurozone growth forecasts to 0.8% in 2026 and 1.2% in 2027, from 0.9% and 1.3% previously. ECB President Christine Lagarde noted that the outlook for inflation and growth remains uncertain as the conflict in Iran pushed energy prices higher.

In Asia, market performance diverged. The Hang Seng Index fell 9.1%, while the TWSE Index gained 3.1% during the month. Taiwan's equity market was supported by ongoing optimism in AI-related sectors, while Hong Kong came under pressure from weakness in China's economy. In China, retail sales slipped 0.6% YoY in May, the first monthly decline since December 2022. The auto sector was particularly weak, with domestic car sales falling for an eighth consecutive month, underscoring softening demand in the world's largest auto market. Sentiment was further dampened by the US decision to add several major Chinese companies, including Alibaba, Baidu, BYD and NIO, to the Pentagon's list of firms allegedly linked to China's military.

In Malaysia, the FBM KLCI Index registered a loss of 1.1%, weighed down by persistent foreign selling and comparatively weaker earnings growth prospects relative to regional markets benefiting more from the AI investment cycle. The plantation sector was the top performer in June, gaining 4.2%, followed by the construction sector (+1.7%) and the consumer sector (+1.1%). The underperformers were the property sector (-10.1%), the healthcare sector (-9.0%), and the industrial products sector (-8.7%). Foreign investors were net sellers in June, recording a net outflow of RM2.4 billion, bringing the year-to-date net outflow to RM2.8 billion.

Overall, the FBM KLCI Index outperformed the broader market as both the FBM100 Index and FBM EMAS Index fell 1.6%. Relative to the region, the FBM KLCI Index outperformed the MSCI Asia ex-Japan Index, which decreased by 1.5%. The top performers were the Philippines (+4.7%), Taiwan (+3.1%) and Singapore (+2.6%), while the underperformers were Hong Kong (-9.1%), Indonesia (-7.9%) and Malaysia (-1.1%).

Market outlook

The US economy recorded another month of solid job growth in May, indicating that the labour market was gaining traction while the unemployment rate remained at 4.3% for a third straight month. This has reinforced expectations of a 25-basis-point rate hike by December. Inflation data also strengthened the case for tighter monetary policy. Producer prices rose at their fastest pace in more than three years, with the Producer Price Index (PPI) increasing 6.5% year over year and 1.1% month over month in May. Core PPI, which excludes food and energy, rose 4.9% year over year. Following his first policy meeting as Federal Reserve chair, Kevin Warsh reiterated the Fed's commitment to restoring price stability. The FOMC unanimously held the federal funds rate at 3.5%–3.75%, noting that inflation remains elevated while describing growth as solid and pointing to strong productivity gains and capital investment.

Locally, Malaysia posted a strong April Industrial Production Index (IPI) print, rising 8.2% YoY, well above the 4.5% YoY consensus estimate. The upside surprise was broad-based, with momentum improving across all major sectors, led by faster growth in manufacturing and electricity output. Within manufacturing, production was supported by higher output of Electrical & Electronics (+12.8% YoY), Food, Beverages & Tobacco (+8.9% YoY), and Petroleum, Chemicals, Rubber & Plastics (+3.8% YoY). Malaysia's external trade also remained robust. Exports surged 45.3% YoY in May 2026, underpinned by strong demand for E&E, energy-related products, and other higher value-added manufactured goods. Imports rose 14.1% YoY, driven mainly by demand for intermediate goods, while imports of capital and consumer goods softened. As a result, the trade surplus widened sharply to a record RM40.4 billion. Inflation edged up to 2.0% YoY in May 2026, mainly reflecting higher food and energy costs. In contrast, transport inflation moderated to 3.8% YoY (April: 4.1%), in line with lower oil prices (USD107.54 vs. USD120.42 in April 2026). Year-to-date, oil prices have averaged around USD88, although risks remain elevated amid uncertainty over U.S.–Iran negotiations. Overall, while easing transport costs offers some relief, the persistence of food and energy pressures points to residual cost pass-through, keeping inflationary pressures present but still manageable.

Market conditions remain volatile, with the Middle East conflict continuing to be a key global risk. Ongoing supply disruptions have kept oil prices elevated, reinforcing inflation concerns; global headline inflation rose by almost one percentage point from pre-conflict levels to 2.9% in April. In this environment, we believe investors should take a highly selective approach to equity positioning. We would avoid companies with earnings that are highly sensitive to sustained input-cost pressures, particularly those with weak balance sheets or limited pricing power. We continue to see relatively more compelling value in mid- and small-cap equities versus large caps.

Fund review and strategy

The fund outperformed the benchmark in June 2026 mainly attributable to stock selection in the industrial products, property and healthcare sector. However, positions in the consumer products, financial services and REITs sectors offset some of the outperformance.

Our strategy remains disciplined and selective, employing a bottom-up stock-picking investment framework complemented by a top-down macro perspective. We continue to focus on companies with: 1) attractive relative valuations, 2) solid near-term earnings growth, and 3) strong balance sheets supported by positive cash flow.

Based on the Fund's portfolio returns as at 31 May 2026 the Volatility Factor (VF) for the Fund is as indicated in the table above and are classified as in the table (source: Lipper). "Very High" includes Funds with VF that are above 16.460, "High" includes Funds with VF that are above 11.955 but not more than 16.460, "Moderate" includes Funds with VF that are above 8.735 but not more than 11.955, "Low" includes Funds with VF that are above 4.705 but not more than 8.735 and "Very Low" includes Funds with VF that are above 0.000 but not more than 4.705 (source:FIMM). The VF means there is a possibility for the Funds in generating an upside return or downside return around this VF. The Volatility Class (VC) is assigned by Lipper based on quintile range of VF for qualified Funds. VF and VC are subject to monthly revision or at any interval which may be prescribed by FIMM from time to time. The Fund's portfolio may have changed since this date and there is no guarantee that the Funds will continue to have the same VF or VC in the future. Presently, only Funds launched in the market for at least 36 months will display the VF and its VC.

July 2026

Factsheet

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The above information has not been reviewed by the SC and is subject to the relevant warning, disclaimer, qualification or terms and conditions stated herein. Investors are advised to read and understand the contents of the Master Prospectus dated 3 January 2023 and its First Supplemental Master Prospectus dated 20 October 2023 and all the respective Product Highlights Sheet(s) (collectively, the "Offering Documents"), obtainable at our offices or website, before investing. The Offering Documents have been registered with the Securities Commission Malaysia (SC), however the registration with the SC does not amount to nor indicate that the SC has recommended or endorsed the product. Where a unit split/distribution is declared, investors are advised that following the issue of additional units/distribution, the NAV per unit will be reduced from the pre-unit split NAV/cum-distribution NAV to post-unit split NAV/ex-distribution NAV; and where a unit split is declared, the value of your investment in the Fund's denominated currency will remain unchanged after the distribution of the additional units. Past performances are not an indication of future performances. There are risks involved with investing in unit trust funds; wholesale funds and/or Private Retirement Schemes. Some of these risks associated with investments in unit trust funds; wholesale funds and/or Private Retirement Schemes are interest rate fluctuation risk, foreign exchange or currency risk, country risk, political risk, credit risk, non-compliance risk, counterparty risk, target fund manager risk, liquidity risk and interest rate risk. For further details on the risk profile of all the funds, please refer to the Risk Factors section in the Offering Documents. The price of units and income distribution may go down as well as up. Investors should compare and consider the fees, charges and costs involved. Investors are advised to conduct own risk assessment and consult the professional advisers if in doubt on the action to be taken.